## Points to Remember

- A good definition of control is that it is a process through which managers assure that actual activities confirm to planned activities.
- Control is a fundamental managerial function that usually follows other functions.
- Controlling has certain characteristics – forward looking, exists at all levels of management, continuous activity, positive.
- Controlling process-Fixing the standards, Measuring the actual, Find out the deviation and Take corrective action.
- Merits and Demerits of control.
- Techniques of Control- Break Even Point, Return on investment, Statistical analysis, Internal and External Audit.
- Case study 2 – Inventory Management system.

### GLOSSARY

| | |
|---|---|
| **Curb** | a check or restraint on something. |
| **Restrain** | prevent from doing something. |
| **Anger** | displeasure. |
| **Exercising** | use or apply. |
| **Operational control** | authority to perform those functions of command. |
| **Mechanism** | a system of parts working together in a machine. |
| **Abdicate** | disown, turndown, reject etc. |
| **Lethargic** | sluggish or apathetic. |
| **Resistance** | the refusal to accept or comply with something. |

## QUESTIONS

### PART- A

**Objective type Questions (1 Mark)**

**Choose the correct answer:**

1. A budget is an estimate of expected results expressed in _____.
   a. Statement
   b. Numerical terms
   c. Qualitative
   d. none of the above.

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2. The point at which there is no profit and no loss_____.
   a. Zero base budget
   b. Break Even Point
   c. Cash Budget
   d. PERT
3. _____ measures the return generated from the funds invested in the business.
   a. Budget b. Audit
   c. ROI d. Cost control



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